

Scalability, Sustainability, Market Responsiveness and Mandates in OA

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Academic publishers come in all shapes and sizes. Some are commercial, some are mission-driven, some are not-for-profit. This creates an interesting dynamic for a market. Not-for-profit publishers see themselves as partners of the academy, working alongside their academic colleagues to disseminate material. Indeed, some university presses are departments of universities. At the same time, though, commercial publishers talk in terms of market conditions. They are often unhappy about claimed [market interference from research funders](#). The upshot of this is that these publishers want it both ways. They claim themselves as stakeholders who must be present at consultations among academics and libraries for the future of academic publishing while then claiming that these entities should not interfere in their market.

This post, which represents early-stage thinking and is far from complete, begins to consider the ways in which academic publishing can be considered in market terms and the rationale for why, even under such neo-classical predicates, market interference might be justified. It does so primarily in terms of an emerging desire for open-access books.

I dislike having to think in terms of markets and neo-classical economics. It is a limiting and often pernicious discourse. And yet, conversations with national-level funders and governments necessitate such thinking and there may sometimes be some truth in the strategies that emerge.

The university sits within the market. University presses sit within the market. Commercial publishers sit within the market. For better or worse (the latter), this is a market space.

Sustainability vs. Scalability of Book Processing Charge models

Book processing charges, the primary means by which [many publishers are proposing to implement gold open access for books](#), are often decried as unsustainable. Charges of £3,000-£11,000 (~\$5,000-\$16,000) per book are not easy to come by in humanities departments where the monograph is most highly valued. Despite the fact that these departments often bring in a profit on teaching because of their lower operating costs, [at least in the UK](#), the internal cross-subsidies of universities mean that these subject areas are chronically under-funded, pitted against the sciences. The lack of research funding in these areas also makes it unlikely that the requisite sums will be found.

But they are not *unsustainable*. The primary reason that book publishers introduced these fees is to provide market responsiveness to a demand of service, and a supply of cash, from specific funders with strong OA book mandates, such as [The Wellcome Trust](#). Funders such as these have a large reservoir of cash dedicated to supporting their commendable OA stances and can continue to provide these fees, so long as OA remains in line with their missions. This, relatively low, level of OA for books and journals in the humanities can continue where funders are willing to prop up the model. It is sustainable at this level.

What these charges are not is *scalable*. As [I have written elsewhere](#):

[An] assumption is that APCs [Article Processing Charges] and BPCs are simply a straightforward substitution of the point of payment to the supply side of the economic system. The problem with this assumption, though, is that the economics of risk have been inadequately modelled for the proposed APC set-up in contrast to the current subscription set-up. The most common way of conceiving of the subscription and sales environment that we have had so far is as one where we are 'paying to read'. We buy material so that we have access and we exclude those who don't pay. There is another way of thinking about this, however. This model is also one where, as a group, we all pay a relatively modest amount in order to subsidise the work of publishers. This is particularly the case in the instance of mission-orientated publishers, like university presses, who often do not make huge profits and combine subscription revenues from many institutions so that they can continue to publish work. In other words, subscriptions and sales act as a risk pool. There may well be problems in conceiving of this as a market – after all, there is little rationality and a high level of monopoly, as well as the fact that it operates on an exclusionary model that is antithetical to the dissemination claims of publishers – but it is a model whereby a large number of institutions bear the cost of publishing all the material that appears in a journal or in a book list.

The same is not true of article and book processing charges. This new environment may look rosy for institutions that do not produce much, or any, research. After all, they have no researchers for whom they have to pay. This is not the case, though, for research-intensive institutions or for younger institutions with smaller budgets that wish to break into the research-intensive groupings. In each of these cases, a subscription will work out far cheaper at the local level than a switch to direct author-facing payments. Indeed, even with offsetting measures in a hybrid environment that are designed to make this a transition, the costs are located at different places in an APC/BPC model. Of course, there is enough money in the system if we were to theoretically transition immediately to pay for all the publication that we have to be OA and if redistributions were put into place. The funds are not, though, distributed evenly throughout the world's universities. At the moment this is manifest in an access crisis. In an APC/BPC model, it will be evident on the supply side, particularly in the humanities disciplines. This explains the widespread resistance to this model within those fields: if researchers feel the need to publish in specific venues with specific access requirements and the economics are not in their favour, they feel the effects directly.

Another way of putting this is that it is not usually possible to offset APCs, and particularly BPCs, locally at their current levels of pricing without funder intervention. There is no way that a single institution can cancel a monograph purchase and then afford to pay a BPC for their author. This problem is worse for institutions that publish more work. It requires a redistribution and pooling mechanism to make it work (KU, OLH, OAN etc.). So BPCs don't look likely to achieve scalability, even if they can be sustained by funders at the current relatively low rate of uptake.

Markets and Responsiveness

As above, BPCs do not seem to be a broadly workable solution at the current market rates. So, what are the options? One or more of the following might do it:

1. A cheaper way of publishing.
2. Publish fewer books and articles.
3. Find a new, alternative model to cover the costs.

Option number one, to find a cheaper way of publishing, is the mission of many born-OA enterprises. This option is disruptive for existing publishers and it is not favoured by either commercial publishers making large profits (for clear reasons) or by university presses who are struggling economically (likewise, for obvious reasons).

Option number two is disruptive for the academy. We have evolved and continue to use competitive appraisal systems that rank upon a presumed volume of output, sometimes using the name of publication (problematically) as a proxy for quality.

Option number three is the ideal magic solution for all participants (and is also implied in option number one), except those who find the current system of for-profit publishing ethically untenable. But nobody knows quite what these models are. Where new theoretical models have been suggested, existing publishers have usually thought the risk of implementing them too great.

I have not considered a fourth potential option: injecting more cash into the university system from public funding, since this seems unlikely given the near-universal political will towards austerity. At the moment we have a system where institutions' wealth and ability to afford to do research is tied to their private student intake income, which is, at the least, a very odd way of doing things, at the most, perverse.

Let us assume that the academy (as though this were a homogeneous entity) is the customer to whom the services of academic publishing are supplied, either as authors or readers. There are other readers, of course, but at the current pricing rates of subscriptions and book sales, the academy is the main beneficiary. The role of academy in a market logic, as customer, is to maximise utility of the publisher's services for its own ends. The needs of the academy are:

1. A proxy for quality for hiring/tenure panels (very contentious but widely known to be used) and for discoverability/filtering (information overload).
2. A system in which we can afford to read research.
3. Dissemination of research work.
4. Some institutions might argue that, in a mode of competitive student provision, they also have a need to provide a *distinctive library collection*.

Need #1 is problematic. It gives intense economic power to existing entities with brand reputation. But the academy hungers for shorthands for quality when hiring and promoting.

Need #2 should hardly need to be said. If the purpose of the university is, in part, to conduct research, then researchers need access.

Need #3 should be the goal of academic authors who are paid a salary to produce work to be read, rather than paid for selling.

Interestingly, need #4 is the most mean-spirited. It means that if other institutions are unable to afford research material, a subscription model will potentially give wealthier institutions (in the UK: Cambridge, Oxford and the Russell Group) a competitive advantage over rival universities. Under a subscription model these universities can use their wealth to provide a superior student (read: customer) experience compared to other universities, even if this is against the public good. There is an incentive for them to resist OA under a market environment for teaching and learning, an aspect that is intensified in an international environment. This hardly holds universally, though. Harvard University has been immensely supportive of OA, largely due to the sterling work of Peter Suber.

Importantly, this combination of needs give a strange flavour to this market. It is not enough for a supplier to produce a new economic model (that is cheaper) that potentially disseminates work more widely (through open access). A new supplier also has to come pre-packaged as a trusted brand. A “new” supplier has to also be an existing trusted supplier. This enormous barrier to new entry could be considered a symptom of market dysfunction.

Let me turn now to publishers.

By contrast, publishers, as suppliers, under market conditions have a duty to maximise profit. Let us assume that a publisher, whether charitable/mission-driven or for-profit, has the following needs:

- To meet demand from customers in order:
 - To implement a model that supports its need to build either surplus or profit.
 - To avoid models that risk its ability to build either surplus or profit.

I am well-aware that these are cynical goals compared to the good intentions of many publishers, especially at university presses. That's market logic for you, though.

Let us also assume that the well-known hyperinflationary cost increases in the journal space and the knock-on effect on book purchasing mean that the current toll-access system of scholarly communications does not fulfill either need #2 or need #3 of customers. Then why do we persist with what we have? Because there is no alternative to need #1, even if the proxy is only perceived to be accurate and is actually a poor way of judging research, that does not require massive collective action within the social structures of academe. Such collective action is extremely difficult to enact overnight. [I have previously written of this phenomenon in terms of a symbolic economy.](#)

Funders, Markets, Mandates and the Public Good

The obvious solution, from a market perspective of a rational customer, is to eliminate demand for a system that does not deliver the desired utility and to reshape demand to only buy services that provide all four needs. But how to do this if we cannot get collective action? The answer is in research-funder mandates. While not universally liked, these are organising principles that serve to unite a heterogeneous set of institutions into a single, supposedly rational, customer entity. Funders can make this work because they hold the purse strings to a still-considerable portion of institutional income. As the balance shifts ever-more towards a private, teaching environment, however, this fades. For now, though, if researchers want funding (they do) then they must behave in ways that serve the needs of funders. This is nowhere so clear as in the way that some funders, like HEFCE, consider open-access a condition of funding. The measurement of a specific aspect (open access) is designed to condition behaviour of researchers who want money. Knowing that people optimize for whatever is measured, mandates and compliance are behaviour tools. Funders, also, do not have need #4 (or, to some extent, need #1), the latter of which is against any kind of public good; they are bigger than any single institution and so, while funders hold sway, this is not a strong institutional bargaining argument. In other words, funders that want OA can change their measurement strategies to induce behaviours that eliminate unwanted market demand in the publication sphere.

The word “mandate” is not unproblematic (see Suber’s *Open Access*, pp. 86-90 [\[PDF\]](#)). But mandates are, in some ways, market signals from funders. If they are problematic for publishers’ models as they currently stand, then mandates are an attempt to signal that new entrants should devise a supply to fill the need. If a large-scale, national/government funder were to announce that it expected, from tomorrow, all of its researchers’ books to be open access, there would be a.) uproar from researchers and publishers; but, if the funder stuck to its guns, b.) new or existing publishers would, in a panic, scramble to find a way to make the economics work.

But funders have two additional needs:

1. They want to fund the best researchers and want the best researchers to benefit from their funding.
2. Their mission would not be served by catastrophic overnight disruption of the scholarly communications ecosystem.

It is, therefore, in the interests of existing entities to claim that the disruption of new mandates, before models have been developed, would be catastrophic. Furthermore, it pays for such entities to foster national division: “don’t strike out alone”, they say, “because your national interests will be damaged”. However, unless the demand for non-open-access publication looks likely to dry up, there is no incentive, under such a market system, for new models to develop.

And so, we come to the nub of it: what do publishers want? If publishers want to be our partners, mission-driven and not-for-profit, then they should expect to be part of the discussions, but they should also expect the needs of the academy to change over time and see their role to adapt. If publishers want to be part of a competitive market system, then they should expect to fulfil customer demand or be obliterated from the sphere of competition. They also shouldn’t expect to be invited to the table where the academy decides what it wants. In the weird world of academe, though, the market hardly functions as it “should”; customers and suppliers are mixed in strange economic configurations. Funders, who truly control the flow of cash, though, hold the power. Far from being interference, if the market is not responding to their needs and if publishers want to play the hardball market game, funder mandates, signaled well in advance, are the starting pistol for a new set of needs to be filled.